

BFIN 491

FUND MANAGEMENT CAPSTONE

SPRING 2026

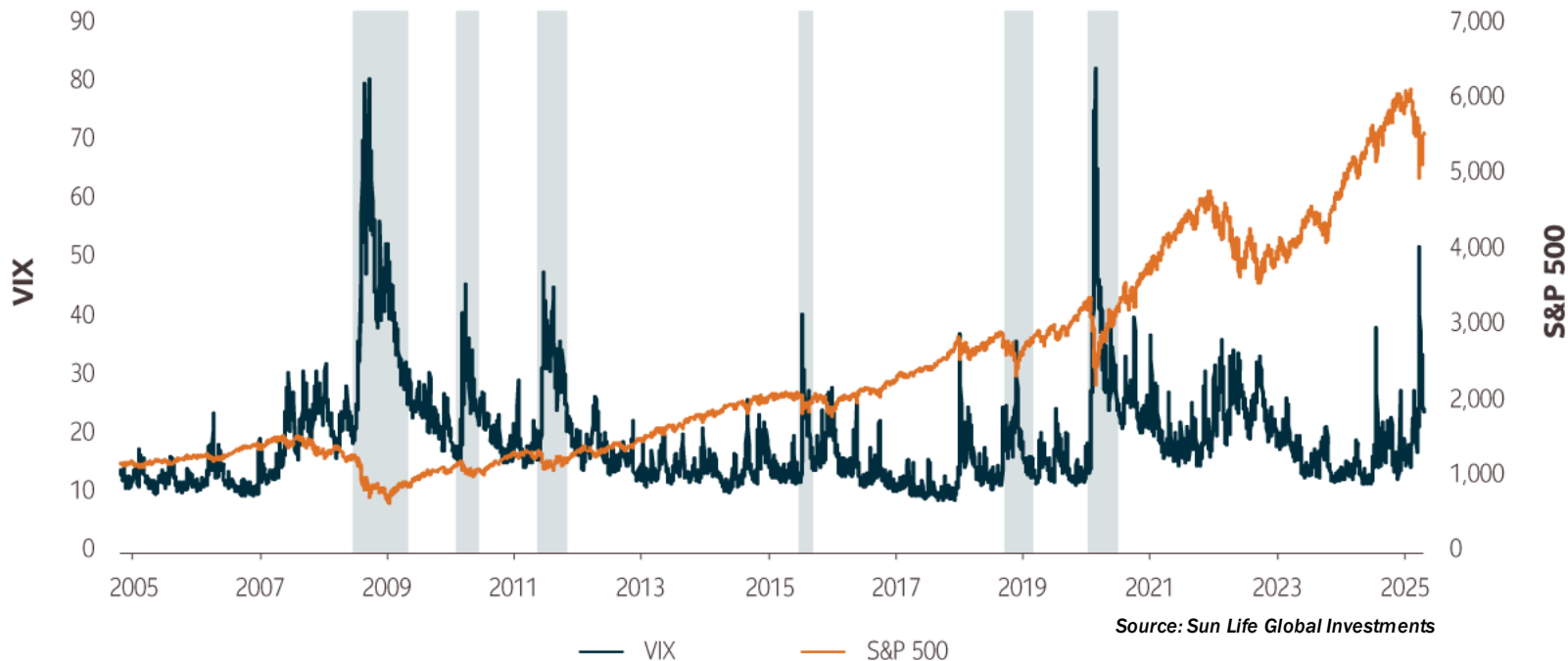


MARKET DEMAND

PWC Global Investor Survey 2025:

- Macroeconomic volatility, inflation, and geopolitics are key investor concerns
- Investors prioritize resilience and risk management over macro-driven growth

Persistent Volatility Highlights the Need for Diversified, Risk-Managed Portfolios



TARGET MARKET & OBJECTIVE

Target Client Profile:

- Age: 30–45
- Time Horizon: 20-35+ Years
- Risk: Moderate-Aggressive

Investment Objective:

- Maximize long-term risk-adjusted returns
- Reduce concentration risk and volatility
- Maintain broad sector diversification



Long-term equity growth with controlled volatility through diversification and rebalancing

CASE SETUP

Fund Context

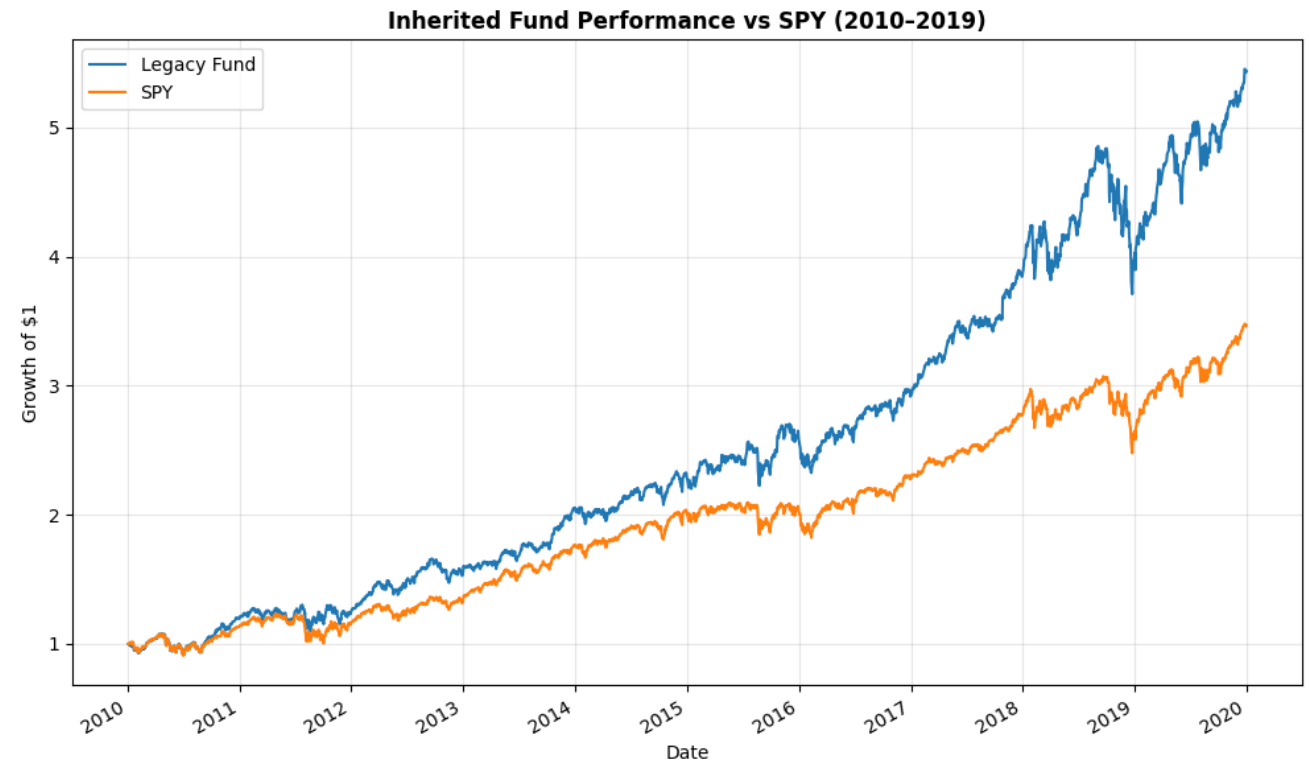
- Equity-only fund, 10 stocks
- Inception: Jan 2010 | Initial Capital: \$1M

Our Role

- Manager Takeover: Jan 2020
- Redesign using pre-2020 data only

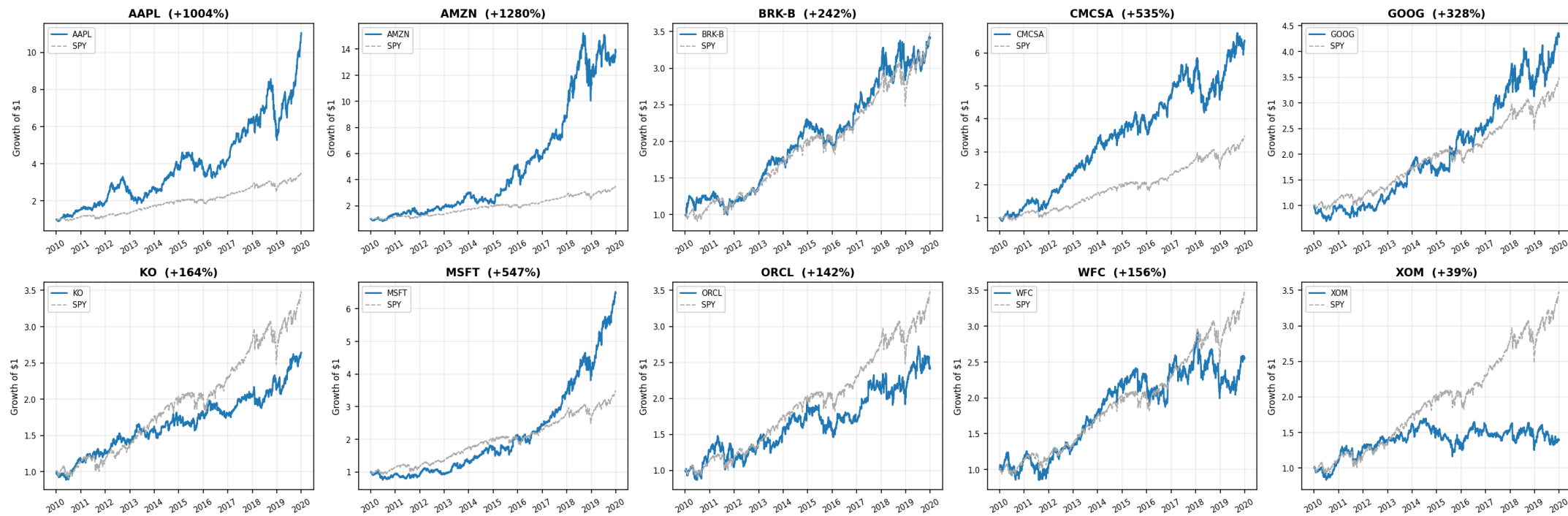
Evaluation Framework

- Out-of-sample: 2020-2025
- Comparison: Legacy vs. Static vs. Active
- Benchmark: SPY



INHERITED FUND

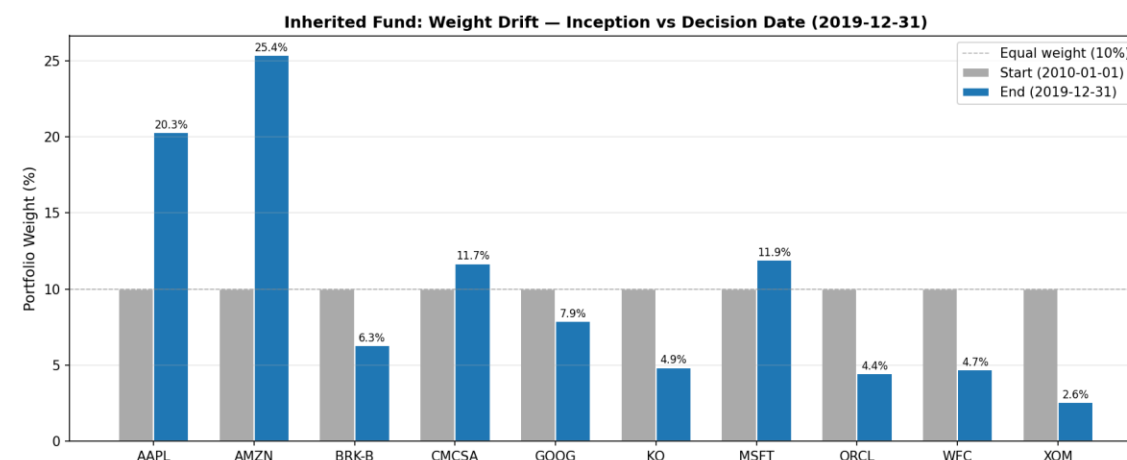
Inherited Fund: Individual Stock Performance vs SPY (2010-2019, In-Sample)



INHERITED FUND DIAGNOSIS

Inherited Fund Takeaways (In-Sample):

- Dominant holdings: AAPL (~20%), AMZN (~25%)
- Key Risk: High concentration in tech (~50%)
- Performance: Strong returns (~18.48%), but driven by a few stocks



Annualized Return	Annualized Volatility	Sharpe	Max Drawdown
18.48%	16.65%	1.11	-23.59%

STOCK SCREENING CRITERIA

Screening Framework:

- Market Cap > \$50B
- 3+ Consecutive years of positive net income
- Identifiable competitive moat (brand, network effect, cost advantage, etc.)
- Max 2-3 holdings per GLCS sector

Sample of Stock Candidates

Candidate	Sector
V	Financials
MA	Financials
JPM	Financials
WMT	Consumer Staples
COST	Consumer Staples
TGT	Consumer Stables

PORTFOLIO SCREENING PROCESS

Start: Legacy +
Candidates

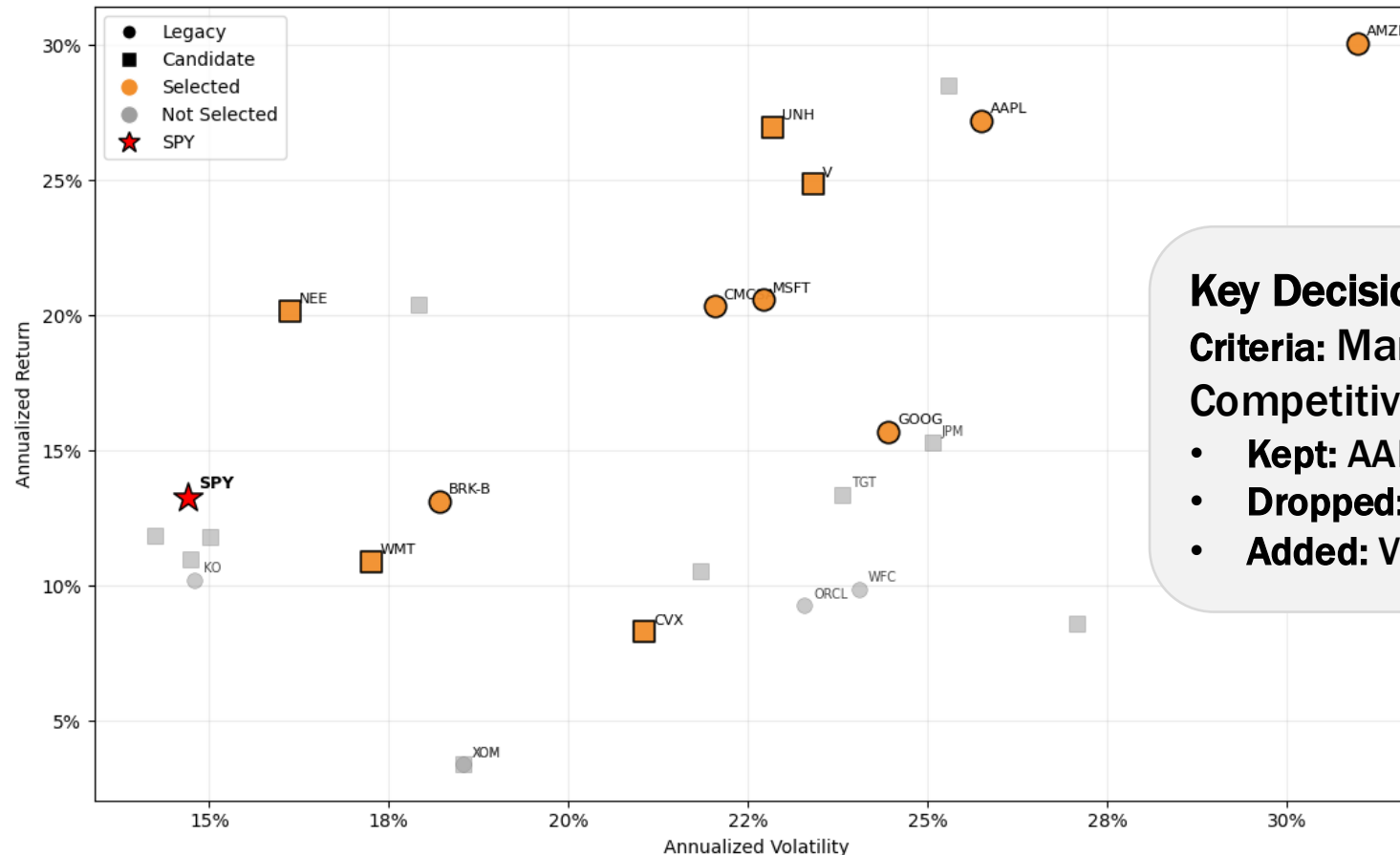


Stock Selection



Implement: Static &
Active

Final Portfolio Selection: Risk-Return (2010-2019)



Key Decisions

Criteria: Market Cap >\$50B, 3+ Years Positive NI, Competitive Moat, Sector Cap

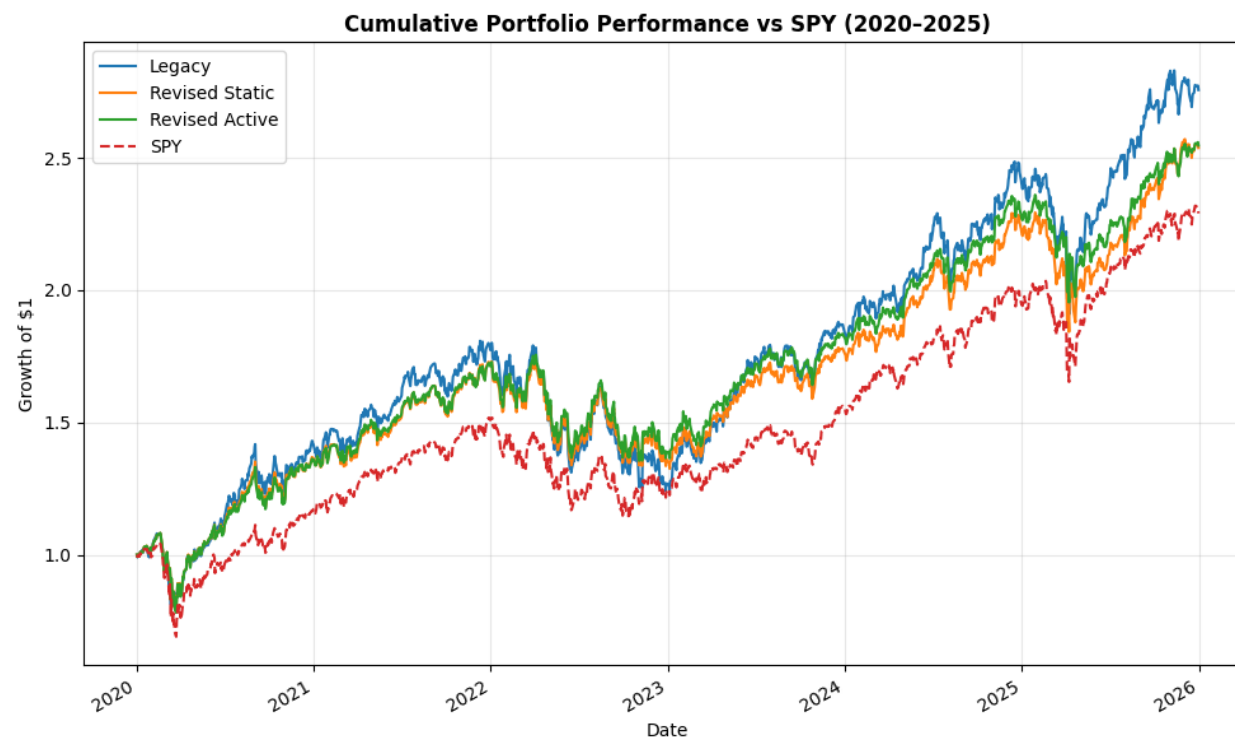
- Kept: AAPL, AMZN, MSFT, GOOG, CMSA
- Dropped: XOM, KO, ORCL, WFC, BRK-B
- Added: V, WMT, CVX, NEE, UNH

REVISED PORTFOLIO

Final weights are non-equal, favoring high-alpha stocks

- Higher Sharpe & Sortino (Revised Active Leads)
- Lower Drawdowns vs. Legacy
- Reduced Concentration Risk

Portfolio	Sharpe	Max Drawdown
Legacy	0.759	-31.38%
Revised Active	0.793	-27.83%



Implement the revised portfolio using a Sharpe-tilt strategy to improve risk-adjusted performance and reduce drawdowns.

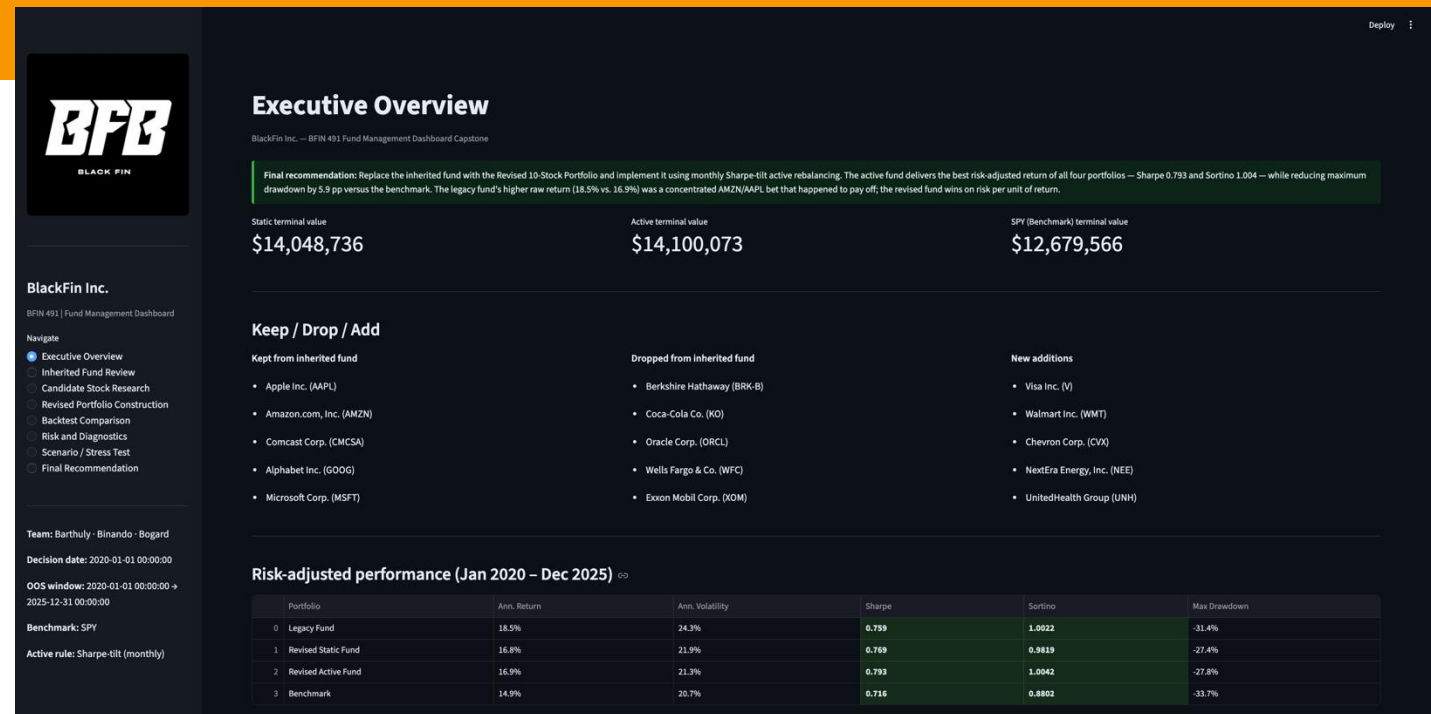
LIMITATIONS & DASHBOARD

Historical Dependence

Limited Universe (10 stocks)

Model Simplicity

Transaction Costs



Live demo:

- Fund overview | Backtest Comparison | Risk Diagnostics

THANK YOU!

**AND A SPECIAL THANKS TO
PROFESSOR LI**

REFERENCES

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